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FILIPPA BOLTZ Head of Communications, Klarna

2025 earnings call. My name is Filippa Boltz, head of communications at Klarna, and I'm joined today by Sebastian Szymionkowski and Niklas Niglian. Our Q4 results were released at around 7.30 a.m. Eastern time, and they are available on our investor relations website. During this call, we will discuss our business outlook and make forward-looking statements. These statements are based on our current expectations and assumptions as of today. Actual results may differ materially due to various risks and uncertainties, including those described in our most recent filings with the SEC. During this call, we will present both IFRS and non-IFRS financial measures. A reconciliation of non-IFRS to IFRS measures is included in today's earnings press release, which is distributed and available to the public through our investor relations website, as well as filed with the SEC. Please note, unless otherwise stated, all comparisons in this call will be against our results for the comparable period in 2024. During the Q&A portion of today's call, please limit yourself to one question. To join the queue, participants should dial pound key five on their telephone keypad. Before we move to Q&A, we will begin with a short presentation. Sebastian, please go ahead.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Thank you for joining Klarna's Q4 earnings call. Klarna is accelerating its growth of our banking relationships and our revenue per customer. Millions of consumers are adopting more of our services, the Klarna card, Klarna's deposit accounts, Klarna's fair financing products, and of course, our well-known Buy Now, Pay Later services. Now, this is exactly what we had planned for and wanted to achieve. And in Q4 2025, the adoption of these products accelerated beyond our expectations. As we scale this business, delivering on profitability is a key priority. In Q4, we delivered. Active consumers reached 118 million, up 28% year-over-year. Merchants grew to 966,000, up 42% year-over-year. GMV came in at \$38.7 billion above the top end of our guidance, and revenue grew 38% to over \$1 billion, also beating guidance. Now, let's put these numbers in perspective. We are a bank with an exceptional network that is growing at 38% revenue year over year. In 2025, we did over \$127 billion worth of volume across 26 markets and

across three continents. And we're growing exceptionally well on every top line metric, cementing our U.S. as well as our global leadership position. Transaction margin dollars before provisions grew 31 percent to 622 million, an acceleration of 107 versus prior quarter. And after provisions, transaction margin dollar was 372 million, up 17 percent year over year and up 28 percent sequentially from Q3. Now, the fact that transaction margin accelerated quarter over quarter points to the compounding nature of our model as more of our cohorts mature revenue and it's compounding at a faster rate. Now, I want to be direct and transparent. This quarter's transaction margin dollar result did not land where we guided. We take that seriously. The acceleration in lending growth is the primary driver of that outcome. Now, let's look at an insertive example of that to understand the impact I'm speaking about. In this example, we have about a billion dollars of loans originated. The lifetime profit of these loans you can see on the left-hand side is \$100 million in revenue, while your provision would be about \$40 million and you would have other costs of \$25 million, resulting in a net profit of \$35 million. Like all banks, we recognize these loan cohort over a period of time. In the first quarter, as you can see on the right hand side, we would recognize a fraction of the revenue, but we would recognize all of the expected provisioning upfront. This results in a first quarter transaction margin dollar drag of \$25 million, as you can see on the red there. During the remaining quarters, we recognize the remaining revenue as well as the other costs. So the resulting lifetime net profit remains the same \$35 million, it is simply spread over time, and we see a \$60 million positive impact on the P&L for the remaining quarters. This effect in the first quarter happens even when the underlying economics are strong and credit quality is stable. This is value creation that is deferred. For every provision we book today, we gain a future profit stream. Now, let's take a Klan example. For \$2.5 billion of U.S. fair financing portfolio originated this quarter, Q4-25, we booked \$80 million in provisions up front, and we recognized \$40 million in revenue. So, yes, this quarter, that's a \$40 million headwind. But there's an additional \$180 million of interest income still to come, while the cost, the expected credit losses, have been provisioned for already – Just to repeat, faster growth, faster adoption means lower upfront transaction margins and operating profit. So when you look at our Q4 transaction margin dollars of 372 million, this primarily reflects the fact that the adoption of our expanding set of banking services are growing faster than we expected, including fair financing, GMV, currently growing at 165% annually. At the same time, to support our accelerating growth in a capital-efficient manner, we've ramped up our loan sales. And in Q4 25, we initiated our first fair financing forward flow with \$73 million of gain on sales recognized in Q4 25. Continuing this strategy will further accelerate our profitability improvement in 26. Now, let me speak to exactly what that growth looks like and why we're so confident in our strategy. Our partnership strategy, as described in our previous earnings call, continues to compound and support our long-term strategy of being ubiquitous everywhere as our payments network expands its acceptance points. Over the year, we added 285,000 merchants, up 42% year-over-year. We continue to scale our default relationship with Stripe. We began the default on rollout with Nexi through Paytrail, and we expanded Apple Pay and Google Pay into additional markets. We also launched new partnerships with Emirates, Lego, Vinted, and StockX, while further deepening our relationship with large global merchants such as Walmart, Lufthansa, and Etsy. At the same time, we're accelerating our product ubiquity, ensuring that we have relevant payment options wherever the consumer shops. We double the amount of merchants where fair financing is available and continue to expand our paying-for product to almost half of our total merchant base. The benefit of building that network, close to one million merchants globally across 26 markets, online and offline, is that we've already captured the hardest thing to win, the consumers' everyday spend. The checkout moments where trust is built and that is the foundation. And now we're leveraging it. Once you have the everyday spending relationship, once the consumer is using Klarna 10, 15, 20 times a year at checkout, the step into a banking relationship is natural, low friction and extraordinarily cost effective. There is no cold start. We already know these customers and they already trust us. And in Q4, this played out at an accelerating pace. Active card users grew to 4.2 million, up 288% year-over-year. Consumer deposits reached \$13 billion, up 37%. And our most engaged consumers, the Klarna banking customers, reached 15.8 million, growing at 101% year-

over-year. This growth is not linear. It is compounding as we build deeper relationships with our consumers. Let's deep dive into a comparison of that total consumer base versus the banking consumers that have adopted more of those banking products. Our base of 180 million Klarna consumers is growing at 28% year over year and transact about 10 times a year with us. They have an average revenue per user of about \$30. But now look at what happens when that relationship expands into a deeper banking relationship. Those 15.8 million consumers transact nearly three times as often. 28.5 times a year with an ARPU of \$107. The average deposits jumps from \$64 for our paying customers to \$475 for our banking customers. And credit balances remain modest. Compare that to any credit card bank that would usually be at about \$6,500 or 10 times as much. And the charge-off rate moves from 0.6% to just 1.1%, a fraction of the 4% to 5% you would see at normal standard credit card banks. So more engagement, more revenue, disciplined risk. That's the conversion we're driving, and it's why we're leaning into this growth despite the near-term provisioning drag. Now, this expansion of our banking product is built on our transaction relationship with our consumers and the knowledge we have built around risk management for the past 20 years. Our proprietary underwriting systems that we've developed underwrite every single transaction. We don't issue revolving credit and we leverage our deep understanding of our consumer spending habits as well as external data. The result is consistent and stable charge of profiles as evidenced by the stable three to four percent charge of rates for a U.S. fair financing product. And we are delivering all of this with a fundamentally different operating model. Leading into technology allows Klarna to deliver a range of services with a headcount that is a fraction of the size of a traditional bank. Klarna's success is built on talent density and relentless focus on efficiency. And we believe this is a lasting competitive advantage. Now, look at this. Revenue per employee now reached \$1.24 million in 25, a 3.6 times increase since 22. And critically, we've reinvested some of these savings back into our talent. That's the operating leverage that compounds alongside the banking growth I've just described. Since 2022, we have accelerated our revenue, growing 104%, while at the same time managing our adjusted operating expenses effectively, as it has declined by 8%. In 2026, we expect to continue to expand revenues faster than our operating costs as we focus on building the consumer bank of the future. As we provide 2026 guidance for the first time, we are incorporating this growth trajectory and the associated timing effects while being disciplined and realistic in how we frame expectations. The underlying trajectory, revenue compounding, cohorts maturing, a lean cost base, give us confidence in the path ahead. Thank you.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you for that presentation. We'll start with three investor questions from Say Technologies. The first question is from Shubayan. When are you planning to become profitable? Klarna's share price has declined since the IPO and investors aren't happy. What changes do you think may be needed in the organization or the products?

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

That's a great question. So as our illustrative example showed, this is how the dynamics work in general. Every additional billion in loans that we add in a single quarter will reduce TMD or transaction margin dollars by something like \$25 million that same quarter. But it will increase transaction margin dollars by \$60 million in the upcoming quarters. So the more we grow in these books, especially the more profit we're generating for the future. So the real question is simply, do we want to make more money, even if it means slightly less today to make significantly more tomorrow? You might also ask, obviously, for how long? Well, the good news is we have natural cushions. As we sell more loan portfolios where revenue and cost are recognized immediately, the timing effect diminishes. We did \$4.5 billion in fair financing last year, growing 165%, winning deals like Walmart and rolling out across all Stripe merchants and so forth. So as these growth rates obviously eventually will normalize, so will this dynamic. Some of you may even remember JPMorgan Chase faced this. Jamie Dimon famously said on the Sapphire card that he wished he'd

taken twice the losses. This was 2017. Slightly different rules, but the same concept. So the question becomes, given that we can issue those additional loans, should we? And as a shareholder, at least, my answer is an absolute yes. Klarna has issued over half a trillion dollars in loans over 20 years with record low losses across that entire period. That's a proven underwriting machine. And when we have the opportunity to deploy that machine and create significant value, we should. In addition to that, to answer the question even more specifically, Niklas will speak about our guidance soon to give you a more concrete answer for this year.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. The second question is from Mark. How will you prioritize capital allocation between reinvestment, debt reduction and shareholder returns over the next 12 to 24 months?

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Well, I think it's a, you know, we're seeing really fantastic growth here and we're seeing an amazing acceleration in the adoption of our banking products. And you may at the same time, some of you may have picked up that we have a rapid product announcements and we're basically quickly closing any feature gaps to both neobanks and incumbents alike. All of this while being disciplined on costs. So the outcome of this translates to more revenue and more profit. And when it is in the books, we can also discuss what we will do with it.

FILIPPA BOLTZ Head of Communications, Klarna

And the third and final question is from Adam. With the 102% surge in credit loss provisions reported in Q3 2025 still weighing on sentiment, what are the latest delinquency trends and how confident are you that provisions will stabilize or decline as a percentage of GMB heading into 2026?

NIKLAS NIGLIAN CFO, Klarna

Thanks, Philippa. That's a great question. From a credit perspective, what we're seeing is actually stability, not a deterioration. Provision for credit losses actually declined in Q4 versus Q3 from 0.72% of GMV to 0.65%. And that really reflects both a stable delinquency trend and an impact of the increased loan sales that Sebastian previously explained.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. We will now move to questions from the analysts. A friendly reminder that to join the queue, participants should dial pound key five on their telephone keypad and please limit yourself to one question. Our first question comes from Sanjay Sokroni at KBW. Please go ahead.

SANJAY SOKRONI Analyst, KBW

Thank you. Good morning. Appreciate all the commentary. Nicholas, do you mind just digging a little bit deeper into this quarter's impact from the excess loan growth? I'm just trying to parse apart, you know, sort of the provision related to credit versus the provision related to growth that sort of speaks to that mitigating impact on transaction margin dollars. And then maybe if you could talk about how it might affect 2026, that would be great, too.

NIKLAS NIGLIAN CFO, Klarna

Great. Thanks. Hi, Sanjay. Thanks for your question. Look, I mean, in Q425, and I think the dynamics are here are twofold, right? You're seeing a very strong growth and seasonality that drove significantly higher paid later volumes. And those are on our non-inter-sparing loan product, right? These are actually classified as sold or held for sale as part of the cost of funds, which you can see in the broken out report that you have on the CFO letter, right? And these loans are actually primarily sold through our forward flow programs. And so those loans are measured at fair

value. And so the result is that you get a fair value adjustment that is substantially offset by a corresponding reduction in the provisions for credit losses. And while you then see the credit losses that we have today, primarily then driven by fair financing. If you think about it, right, and we've broken out the fair financing volume as well in the back end of the paper, but ultimately what you're seeing is a mixed shift towards fair financing that was stronger than what we had expected as we're seeing more and more banking consumers coming with more banking product with us. And that's really what's been driving that. 26, you know, we have a guidance there, and I can take you through the details of that. But ultimately, we're seeing similar trends there. You know, year to date in January, we're seeing, you know, good, moderately stronger growth than in Q4-25. And so I think we're heading in that right direction from that perspective.

FILIPPA BOLTZ Head of Communications, Klarna

Perfect. Thank you so much.

NIKLAS NIGLIAN CFO, Klarna

Okay, great.

SANJAY SOKRONI Analyst, KBW

Maybe just one follow-up.

FILIPPA BOLTZ Head of Communications, Klarna

Yeah.

SANJAY SOKRONI Analyst, KBW

Okay. Go ahead.

FILIPPA BOLTZ Head of Communications, Klarna

Go ahead.

SANJAY SOKRONI Analyst, KBW

Sorry, I didn't know if I could have to. Maybe just one quick follow-up for Sebastian. I mean, maybe just how you feel like the Walmart rollout has played out, if you're happy with it, and sort of any traction otherwise you're seeing in the United States. Thank you.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

No, I think Walmart is obviously one great accomplishment, and it's looking really well when you look at the rollout. But I think that what excites me the most is the strategy that we set up that we're executing on, which is to become a truly third-party network and rely even stronger on the distribution of our partners, be it JPMorgan Chase, be it Stripe, be it... Adyen, and so forth. And that's why you're seeing these acceptance points and merchant numbers coming up so much. This is also why you're seeing fair financing growth because not all of our merchants historically had that. And the way we now work with our distributors is we try to make sure that they offer all of our payment methods. So not only is it about number of merchants that accept us, it's also about making sure that Pay now, pay in later, as well as fair financing is available at every checkout. So there's always a relevant payment option, independently of what the retailer might be selling, everything from furniture to games. And that's really what is the foundation of this growth. But at the same time, it's early days. A lot of these large distributors of ours are still implementing, still taking us live and so forth. And that's why we're very pleased about this, because we know that this will continue to drive

very solid growth for us in the coming years. So very happy about what we've seen so far with Walmart and also generally seeing the effect of this both in the U.S. and then globally as well.

FILIPPA BOLTZ Head of Communications, Klarna

Perfect. Thank you so much. Thank you. The next question comes from Will Nance at Goldman Sachs. Please go ahead, Will.

WILL NANCE Analyst, Goldman Sachs

Hey guys, good morning. Thank you for taking the questions here. I was wondering if we could drill down into the transaction margin expectations for the coming year. As we look at the guidance that you guys have laid out, it seems like transaction margin is coming in roughly 10% or so below current consensus expectations and hear you on sort of the front-loading impact provisions in GMV. But when we look at the first quarter, you know, GMV was, you know, much closer to the guide, whereas transaction margin was something like, you know, three, four points below. So I guess with that context, can you talk about the transaction margin trajectory that you are expecting now versus what you had previously expected? What are the changes, and how do you think about the path to getting towards transaction margins in the kind of 115 to 120 range where the company had operated historically prior to the big expansion in lending? Thank you.

NIKLAS NIGLIAN CFO, Klarna

Sure, Will. Thanks a lot for the question. I appreciate that. So maybe just before kind of answering you specifically, I think it's good for me to just take you through our thoughts on the guidance and how we've kind of thought about it. So I'll start with that a little bit. Start with the first quarter, right? So we've, like I said, already entered 2026 with a strong momentum. We're tracking modestly ahead of Q4 25 levels already. The banking products, fair financing, the credit card, et cetera, remains the primary driver of that growth. And we're seeing that continued strong adoption, right? So that is one element of what we're seeing in 2026, right? Our forward flow programs, which are providing that kind of capital light foundation for the sustained higher growth, we actually expect to continue to execute some of these agreements throughout the year, including one in Q1. And that's actually reflected in our transaction margin dollars and our adjusted operating income ranges for Q1 as well. Transaction margin dollars as a percentage of GNV is also expected to be broadly consistent with Q4 2025 as we continue that investment in supporting the rapid scaling. And so what you should be able to see then when we get into 2026 in full year, you're going to see that GNV growth and revenue growth in line with 2025. which, you know, on the context of \$127 billion worth of volume this year, I think is very, very healthy growth. As a mix of maturing fair financing codes increase, what you're going to see is revenue compounding through the year and transaction margin growth accelerating into the second half. And that's really the natural payoff. of that upfront provisioning model, which you highlighted yourself, right? So adjusted operating income margins is expected then to become greater than about 6.9% as we continue to have that revenue and TMD outpace the growth of our operating costs, right? So ultimately, in very simple terms, when you look at transaction margin dollars, it is really a mixed question of the geographies we're growing in, but also in regards to how much fair financing that we're doing as part of that banking evolution that Sebastian spoke about.

WILL NANCE Analyst, Goldman Sachs

That's great. I appreciate all that, Kolar. And just you mentioned the offloading dynamics starting in the first quarter, likely continuing for the year. I was wondering if you could provide your latest thoughts on just expected offloading on the fair financing book in the U.S., maybe relative to the amount of loans sold in the quarter. Is there any kind of parameters around percentage of production sold that you guys are targeting for the full year as we just try to true up that part of the model? Thank you.

NIKLAS NIGLIAN CFO, Klarna

Yes, we're not going to give exact guidance because, you know, we are really commercial in the way that we think about this. We have some great partners that we work with in this regard, but we also want to be sure that we balance it, right? So my expectation is that, you know, we're looking at a transaction in Q1. If you look at Q4, we sold about 1.6 billion. This transaction will be slightly smaller than that, right? And so what we'll see is through the year, as and when it makes sense to do these sales, we will be executing them. And that might change depending on quarter to quarter, right? So that's probably the best I can answer at this stage. Got it. Thank you for taking the questions. You're welcome.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you so much. Over to our next question, which comes from Jason Kupferberg at Wells Fargo. Please go ahead.

JASON KUPFERBERG Analyst, Wells Fargo

Hi, guys. Thanks for taking the question. So can you just talk maybe a little bit more specifically about what you're embedding in the guidance for 2026 for fair financing specifically, just in terms of loan growth there? I mean, obviously, you're going to lap Walmart later this year, but we'd love to get a sense of what's assumed in the initial outlook here.

NIKLAS NIGLIAN CFO, Klarna

Yeah, so we're not going to give a specific split, but what I can say is that we're going to, from an absolute volume base, accelerate in comparison to 2025. Now, as we go through the year, just given the fact that we started where we started and have been scaling so quickly, the year-over-year percentage comps through the year will kind of pan out or kind of decelerate to some extent, right? But that's from a percentage perspective. On an absolute basis, we're continuing to compound.

JASON KUPFERBERG Analyst, Wells Fargo

Okay, understood. And then maybe one for Sebastian, just big picture. On agentic commerce, I think a lot of debate out there about what, you know, branded button presentment and prominence might look like, you know, in a truly agentic world where transactions are being completed natively on an AI platform. How is Klarna thinking about that, preparing for it? Obviously, you guys have announced some partnerships. But we just love to get a sense of what your crystal ball is in terms of what, you know, consumer checkout experience might look like in that scenario down the road. Thank you.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Thank you, Jason. Fantastic question. Look, I think there are many ways to answer that. Try to keep it short. But first and foremost is that like we have. believe that this is the evolution of e-commerce for a long period of time. That's been part of our thinking. As a consequence of that, we have thought it was very important to have the partnerships and distribution of people like Stripe and Adyen, since those are often the companies that people go to to implement the Gent e-commerce. And so by making ourselves default and always available in all these points, that makes us always available in those points as well. In addition to that, you see things like we launched with Apple Pay and Google Pay makes us again available everywhere where those are being used, which again then gives us additional coverage in this. But then obviously we also court the big AI companies and I can't promise anything there, but obviously that's part of what we do as well in that sense. I think the additional thing that I find very promising is is that the conviction that we have, which is that buy now, pay later, is a healthier form of credit than credit cards. The fact that it's interest-free, fixed installments, and so forth. This is truth. And then, you know, sometimes people write about different things in media, this and that. But the truth is, if you go and ask... even the big AI companies, which form of

credit should I be using? Which is the one that's most healthy? It will recognize the benefits that Buy Now, Pay Later provides. And so we think the fact that we have a healthier product also means that even AI will recommend to rather use this one than Revolve at 30%. So I think all of these combined, we feel that we're very well prepared and that we are in a great position as this agentic commerce rolls out.

JASON KUPFERBERG Analyst, Wells Fargo

Appreciate it. Thanks.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. Our next question comes from Hoshita Rawat at Bernstein. Please go ahead.

HOSHITA RAWAT Analyst, Bernstein

Hi, good morning. Hi, Hoshita. So I want to ask about... I want to ask about the competitive environment. Some of your peers have talked about intensifying dynamics in Europe and the U.S. Maybe talk about what you're seeing in the market. And then also maybe comment separately on the consumer, kind of, I think, this concern around, you know, continued kind of pressure on the low-income consumer. What are you seeing, hearing from your customer base, both in the U.S. and Europe? Thank you.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Hey, Sebastian, I'll jump in on that one. Let's start with competitive. I think that I feel very, very confident on this topic. And the reason, again, comes back to what we said about our partnerships. It was always very critical to me to become a global payment solution. So many times we talked to merchants in different markets and they looked for global solutions. And now Klarna is perceived as a global solution, which means that we get tremendous benefit from working everyone from an H&M to a Shein to a... to a Walmart to a Sephora the fact is that they can work with one party that can offer pay now buy now pay later and fair financing across all of these jurisdictions this has not been even look at the big home electronics manufacturers none that has never been possible before so the geographic coverage means a lot when it comes to signing these deals and it's unparalleled nobody else in the industry has the geographical coverage of Klarna So you'll always find individual companies in individual markets, but that is just giving us such a tremendous strategic advantage that we see. And that's also super critical when we work with the Stripe and the admins of the world, because it's also for them much more interesting to launch with somebody that can offer their services at such high global coverage. So I feel very, very confident in our continuous ability to grow and preserve margins throughout. Now, when it comes to the consumer, We are very confident and feel very solid here as well. What we're seeing is that, again, the audience that uses our product is an audience that is what we call the self-aware avoiders. These are financially conscious. both American consumers and European consumers, who are actively keeping away from credit cards, who are borrowing much less. Their average balance may be, you know, on a credit card, people would have \$4,000 or \$5,000. As you saw in our presentation, a pay, what we call a Krona paying customer, has \$100. A Krona banking may have \$400 or \$500. So it's actually... you know, 10%. And so these are financially conscious customers. They enjoy the fact that our products are zero interest, fixed installments. They find them as a healthier alternative, and they're also keeping their economy in better shape. So we see, you know, good performance. We see that they are shopping as they used to, they're spending as they used to, and they are also borrowing responsibly, which we appreciate and find is important.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you, Sebastian, and thank you, Harshita. The next question comes from Darren Peller at Wolf Research. Please go ahead.

DARREN PELLER Analyst, Wolfe Research

Hey, guys. Thanks. You know, I really just want to go in a little bit more maybe for Sebastian on this. Basically, the idea of where you believe the right balance should be between lending and interest income and transactional streams is just as far as the company's longer-term goals. I understand it's demand-driven to some degree and to the most degree, but anything you could help us with and where you see that sort of leveling off. And then, Nicholas, just maybe on a short-term basis, we're also trying to understand where we expect to see the inflection on provisions offloaded to a degree that it actually does help the TMD grow at a faster rate this year potentially.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Maybe you want to start, Nicholas?

NIKLAS NIGLIAN CFO, Klarna

Yeah, sure. Thanks, Darren. I appreciate it. I think it's a good question. If you look at it, what we're actually looking at from a TMD perspective is a significant uptick in growth, right? And you've seen that kind of sequential increase both from Q3 into Q4 now, right, with TMD. And I think as we continue to compound through the year, like I said earlier, So Q1 definitely still has a lot of that rapid growth coming in, and then you start kind of cycling into an absolute growth balance, but then the percentages from a comp perspective kind of recede a bit into the second half of the year, which is kind of what I said. So I think that is kind of the short answer to that, and I think you're going to see that continuous TMD acceleration through kind of the second half of the year, as I said earlier.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you, Nicholas. Sorry, Darren. Would you mind just repeating your question for Sebastian?

DARREN PELLER Analyst, Wolfe Research

Yeah, I was just trying to figure out what do you guys think is the right mix sort of in a steady state? Obviously, you're in hyper growth right now around fair financing and your banking products, but trying to get a better sense of where you think that should level off, where you'd like it to level off, thinking about interest income as a percentage of the mix of the business versus other revenue streams.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Yeah, it's a great question. You know, I think as a rule of thumb, even for myself, when I look at those provision for credit losses, the rule of thumb is that 80% of it is associated for kind of forward looking, while 20% is kind of backwards looking. So to your point, obviously, as we're growing fair financing right now, And we're kind of in that phase of that being a high-growth product at this point in time. But I don't think that is necessarily always going to be the case. When we look and compare ourselves to other neobanks, some of the other neobanks, most of them are much smaller on the lending side and much bigger on deposits, on subscriptions, on tiers, etc. So partially what we're seeing right now is just the effect of the strategy that we implemented a few years back to again have our partners distribute us and you saw that number as well in the presentation that you know still only you know about 200 000 merchants offer fair financing of the total 800 000 so there will probably be some continuous growth there as more and more offer that product but i'm very keen on growing the other revenue lines as well the marketing revenue the subscriptions revenue and so forth and i think that finding a healthy balance as well as depositing revenue as well So I think over time, it's probably going to skew more again towards the other revenue lines. But that takes a little bit longer time. And it takes time, obviously, because we're a fairly big bank by now. So even if we make changes to our product and so forth, before you fully see that materialize in the numbers is a little bit further out. Right.

FILIPPA BOLTZ Head of Communications, Klarna

Okay. Thank you. Thank you, Darren. Next question comes from Qianxin Huang at J.P. Morgan.

QIANXIN HUANG Analyst, J.P. Morgan

Thanks so much. I want to ask on the processing cost side, if you don't mind, a model question. Lots of moving pieces I know with partner and product ramps, as we've discussed here. But how should that processing line trend in relation to GMV? Any insight there to share? Thank you.

NIKLAS NIGLIAN CFO, Klarna

Sure. Yes, thanks, Susan. I think the reality is partially this is a mixed question with regards to how much volume is coming in from the US, et cetera, as well as the type of product that you take on and the tenure of that product. So in the short term, you're going to see something similar to this that you've seen through 2025. But I think the evolution of this in the longer term or medium to long term is very much one of the, and you've heard Sebastian say this before, one of our focus areas is really to find ways to improve that line, right? And so we are actively looking to find ways to get that trend line to move in the opposite direction, not only purely from a mixed perspective, but actually getting things like now we have a current account, we have the balance, et cetera, and we're starting to see refunds come into our accounts, which obviously then reduces the requirement for us to use other rails. What we have slightly working against that right now is also that we have more card issuance, right, as more and more consumers are using us. So similar to, you know, to some extent, similar to the fair financing upfront provisioning, we are making some investments here with now over 4.2 million active card users. Right. We are seeing a lot of growth and that that obviously has a bit of cost in the upfront. But what we actually are creating is a very sticky consumer that's going to help us then to be able to drive, drive more, more, more, more, more of the transactions within our own rails, which will help to reduce that processing and servicing line.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

And I think to add to that quickly, is that, I mean, we, in this case, we're coming from Europe where payment and funding costs were virtually zero or very low. And then we moved into the U.S. and we've seen significant growth. And we know, looking at other fintechs and competitors that are larger and originating in the U.S., that there are smart ways to fix this. But it's going to be a continuous focus for us to do that, obviously, because to your point, there's tons of potential opportunities in there, but we need to execute it, implement it, and see the results in the financials.

QIANXIN HUANG Analyst, J.P. Morgan

Understood. That's a work in progress. Good to know. Thanks. Just quickly on the, I think, Nicholas, you mentioned stable delinquency trends. Looks like from the charts in the shareholder letter that some of the newer vintages on the delinquency side are a little steeper and higher than prior vintages. I'm just curious if there's any surprises there or just want to better understand those.

NIKLAS NIGLIAN CFO, Klarna

Yeah, no, there are no surprises there, right? If you look at it again, you have to understand that we're obviously ramping quite quickly through these processes. But at the same time, you're seeing that it's very much within the trend base that we expected. And as you go, your models, as you scale, get better and better. And you can see that's why I actually included not only the 60 days past due view, right, which we've been showing consistently, but I also show you the 30 days past due, where you can see that those trends are normalizing over time, right? And I think that is a really key point here, right? We underwrite every single transaction. We've been doing this for 20 years. Yes, we are scaling the business, but what we're actually doing is doing that in a very disciplined fashion. And we have the

ability with our low average order values and short durations to be able to manage and flex these models consistently. And that's really what we're showing on that page.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

I think in addition to that, what's also important is that the way we think about it is that we prefer starting with buy now, pay later and pay now with small value transactions, \$50, \$100, build a big audience of customers that we get to know, that we've underwritten, that we've seen their payments performance. And then we're scaling like we're doing now for financing, where a large proportion of those fair findings and volumes are existing customers that we already have relationships and underwriting for a few years. And that's a critical part of our thesis, which we think is very special to Klarna, that it's important for us to be in those daily transactions, both because it grows a stronger relationship with the customer, but also means that we understand them better, we follow them for a longer period of time, and it helps a lot in the underwriting decision.

NIKLAS NIGLIAN CFO, Klarna

I would say that the vast majority of our fair financing companies that's being underwritten is with consumers that have had products, other types of products in advance. Right. I appreciate your thoughts. Thank you.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. Moving on to Mihir Basha from Bank of America. Please go ahead.

MIHIR BASHA Analyst, Bank of America

Hi, thank you for taking my question. Maybe the first question I have, I just wanted to start with the Klarna card. Can you just talk a little bit more about how consumers are using the card? Is it actually becoming a top-of-the-wallet card, or is it just being pulled out more for financing transactions? Are you seeing differences in geographies or the types of customers in how they're using the card?

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Yeah, hey, it's Sebastian. So we are excited about it a lot. I mean, I think that I probably I was trying to find a bank issuer that had launched a card with this kind of number of active users on such short period of time since this basically started rolling out in summer. I think it's actually unprecedented, which is pretty cool. We see very good usage of this product both in the US and Europe. What we're happy to see is that it isn't, to your point, only a... Or as you mentioned, it isn't just being used for like a pay later or fair financing card. It actually has a very healthy proportion that's being used for debit transactions, for day-to-day spend, which is exactly what we wanted to do. So... When we think about this again, like when we move consumers that we call them the Klarna payers to the Klarna bankers, we want them to adopt more of our financial products. And that is both deposits, debit spending, as well as credit to some degree and other, the subscription tiers and the loyalty cards and the cashback offers that we do and so forth. So we're very optimistic about what we've seen so far in regards to that.

NIKLAS NIGLIAN CFO, Klarna

Could I just add something there, Sebastian? I think it's a really critical point to make that what we're seeing is a high teens growth, even in established markets like Sweden, where we have 80% population penetration. And that is very much because of the card, right? You're seeing that people are adopting us both online and offline here. And I think that's a very unique positioning for us to find ways to grow with our customers in the way that Sebastian described, but also then ability to expand that monetization opportunity as well.

MIHIR BASHA Analyst, Bank of America

Got it. Thank you. And then if I could just follow up, I want to go back to the questions around the trajectory of transaction margin as a percent of GMV or revenues, however you want to answer it. But look, I think I heard you regarding the mix and the fair financing growth pressuring 2026 margins a bit. But I guess like when does the delayed profit from the back book start to offset some of that growth? Like how are you thinking about those margins maybe as you go out a couple of years and Where do you think transaction margins should settle out? Like, you know, your competitors obviously given some guidance. And I was just wondering if you have a view on that, like where transaction margin as a percent of GMV should settle out medium to long term.

NIKLAS NIGLIAN CFO, Klarna

So I think TMD, generally speaking, right, is now moving towards and we're not going to give like longer term guidance and beyond 2026, but. I think we gave some frameworks previously, you know, and we've talked about the range of somewhere between one and a half, two percentage points. But again, like the key thing here is the mix of the revenues that we've got. Right. And so, you know, the way I would think about this is that we can. really think about what is the trajectory of the fair financing element of this and how that is moving forward and scaling and I think as we get an understanding of the abilities of balances of this we will see how those things proceed Thank you

FILIPPA BOLTZ Head of Communications, Klarna

Moving on to Robert.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Maybe I can add something on the topic. I mean, generally speaking, Klarna has always seen over my 20 years is that you either go through high growth phases. When you go to high growth phases, you always see slight temporary deterioration in GMV, in margins, etc., And then as you kind of mature a little bit and growth comes down, then, you know, profit and transaction margin dollars return. So this is always a continuous discussion because when you grow faster, then as we've seen, for example, the accounting that was described and so forth, and this always results in these kind of effects. So that creates a lot of confidence for me.

NIKLAS NIGLIAN CFO, Klarna

Sorry, I think... Yeah, that's a much better answer to the question. I think from the perspective of long-term guidance, I think the key thing is we're focusing on 26 right now, and how we're thinking about the transaction margin there is really how you should all be thinking about it.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. Moving on to Robert Wildhack at Autonomous Research. Please go ahead.

ROBERT WILDHACK Analyst, Autonomous Research

Hi, guys. You've talked a lot about the upfront provision for banking services, and I guess you know, in the letter, those banking services include fair financing, but you've also got some products in there that at least to me would seem lower loss, like the card and savings. So that's, I think the thing I'm having trouble understanding is like, how does fair financing was always going to grow this year, but then you're going to also grow into products that would seem to have, you know, a lower blended loss content yet. There's more pressure on the transaction margin. not pressure, but it doesn't go up as much in 26. So how do you square those two things?

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Yeah, thank you, Robert. Great question. Look, I think that the two things are important here. What surprised us was the embracement of fair financing among our customer base. So more people took up this product than we expected.

And hence, you know, on the transaction margin dollar, you saw more negative pressure because of that upfront booking, which is the primary driver of that. So that is it. But to your point, we're also seeing all these other products growing really well, the card, the subscriptions. Now, ironically, they also come with a slight additional upfront cost. For example, every time we issue a card, there's cost associated with that at the front end of it. So each one of those. But those effects are obviously more limited. And so we think that you're going to see a positive impact that's going to come as those products have also been growing. I mean, the subscription, the subscriptions, products and so forth. So I feel quite optimistic here on this on this topic as well. I don't know if you want to add anything.

NIKLAS NIGLIAN CFO, Klarna

Yeah, no, I agree. I mean, the subscription, we're already seeing a huge amount of people coming in. We have about three point five million already and we're seeing that just expand on a monthly basis. So, you know, those revenues will start building up over time through through 2026 as well.

ROBERT WILDHACK Analyst, Autonomous Research

Okay. And then I see the negative fair value adjustment on pay later in the funding costs. Given the short duration there and your ability to grow deposits and the balance sheet capacity you have, what's the benefit of selling pay later at a discount?

NIKLAS NIGLIAN CFO, Klarna

So the vast majority of the economics of that actually sits in the merchant discount rate, right? And so the purpose of this is really from a liquidity as well as from a capital perspective. We've done a few of those and we may do some more in the future. But ultimately, the key thing here is really to be able to balance how much return I get from every asset that I get in. So there's also a value to us in certain points of holding fair financing that generates a higher yield as well. So it's constantly a mix of ensuring that we keep ourselves capital light, that we can continue to grow and expand as much as possible. But we want every tool in the toolkit, and that's why we've leveraged this type of transaction.

FILIPPA BOLTZ Head of Communications, Klarna

Great. Thank you. Thank you. Moving on to Nate Svensson at Deutsche Bank Securities. Please go ahead.

NATE SVENSSON Analyst, Deutsche Bank Securities

All right, thanks for the question. Maybe I'll sneak into here. Been some questions on the competitive environment, agentic placement. Maybe a related question on that is just the topic of exclusivity, which I think is probably worth exploring in light of some recent comments from your competitors in the US. I guess our understanding is that exclusivity is more the exception than the rule in the industry. Obviously, you guys have Walmart. I guess just in light of what we're hearing from competitors, do you think that dynamic is going to change? is carna going to try to go after more exclusive deals or is something like walmart once again kind of more the exception in the rule and then briefly maybe this one's for nicholas just on funding costs i know earlier in the q a uh talking about funding costs moving from europe to the us that went up again quarter over quarter in 4q presumably because of the continued fast growth in the us just wondering how we should think about funding costs as a percentage of gmv in 2026 as as the year progresses

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

I can I can start. Hi, Nate. Thank you for the question. Look, I think it is. I think that this exclusivity, I mean, sometimes it makes sense to sign those. But I always tell my sales guys that, like the best competitive advantage comes if we're the most preferred. payment method in the checkout by the consumers. And so as much as some-

times it could make sense tactically to enter such deals, we don't mind being side by side with others, just like Visa has been side by side with MasterCard or Amex has been side by side with them for a long period of time. So instead, what we focus on primarily is that there is always customer preference. And we know by experience that there are some merchants that even offer three options for for example, within the buy now, pay later space. And we see that we grab the highest share of checkout among consumers. And that, to me, is like the primary thing to keep an eye on. Then tactically, occasionally, it can make sense to be exclusive, non-exclusive, et cetera. But also, in addition, I mean, we see what's amazing now with Apple Pay, for example, is that, you know, anyone in the U.S. that has any card from any bank can use Klarna buy now, pay later, as an example, on any merchant. So I think that's the right way to think about it. Build consumer preference is the key long-term strategic objective.

NIKLAS NIGLIAN CFO, Klarna

Over to you, Niklas. Yeah, great. Look, the reality is if you look into some of the details in the notes, you can see that what you'll see with cost of funds, because we model it in accordance with the forward views on interest rates, et cetera, you would expect that to decline in line with forward interest rates, assuming that they... are correct right um and that's really how we model it and then like i said you know we have a stable outlook with regards to the forward flows that we're doing so you know those are there already practically speaking so to me that should be support support and improvement over time and depending obviously on on the interest rate base that you see right um so that's simply I think the key thing is also just to note on your comment with regards to the U.S. I think it's important to appreciate that it's not really just the fact that we're moving or we're expanding more volume in the U.S. It's actually we're expanding our volume across the board. We have very, very healthy growth both in Southern Europe but also, like I mentioned earlier, in our established markets because we are expanding that banking services that we were speaking about. Absolutely. Thanks, guys.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. Your next question comes from James Fawcett at Morgan Stanley. Please go ahead, James.

JAMES FAWCETT Analyst, Morgan Stanley

Thank you very much. Appreciate all the commentary here. I wanted to follow up on a couple of points that were made earlier. I guess I want to go back to the TMD and that kind of thing. Is there a point, and I recognize that the pace of fair financing growth will naturally drive BQs higher, but I'm wondering if you could talk to us about how we should be thinking about a delinquency high watermark where you might, if you got to that, you might feel like you were compelled to pull back on GMB, just helping us bracket how we should think about that, especially as you continue to ramp fair financing and some of the other initiatives.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

I'll let Niklas answer that. Hey, James. But again, I think it's important to remember. Klarna under the time I've been here has underwritten half a trillion dollars with, you know, record low credit losses for that. Right. So we are we have an extremely strong confidence into our underwriting, into our proprietary models and so forth. And as we've highlighted here, we see this as predominantly a question about timing than nothing else. And that's the same that we think about here going forward. So, yeah, so I think that's a beginning and maybe you want to jump in more specifically.

NIKLAS NIGLIAN CFO, Klarna

Yeah, sure. Thanks. Hi, James. I think the key thing when you want to think about this is that because we firstly underwrite relatively low average order values and we do so on very short tenors, we have the ability to constantly

adjust the portfolio, which is what we do. So it's not so much a question of like, oh, well, there's this bar for something. It's more a question of how comfortable do we feel with those continuous cohorts that we're looking at? And we're not just looking at cohorts on a quarter or a month or something. We're looking at the cohorts literally on a weekly basis, right? And understanding the performance of that. And that's what we've been doing for 20 years. That's what we're going to continue to do, right? And so I think, you know, we've evidenced historically, you know, we've talked about it before with regards to how can we adjust this and what are the impacts of those adjustments as we go along. So that's really how we think about it. And obviously, we're always trying to keep an eye on that profitability and ensuring that we do this in a balanced fashion. Right. And I think we've. that we can do so over the last 20 years.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Yeah, I think like underwrite primarily to existing customers, keep low average balances per customer. Again, \$100 versus \$500 on the banking versus like the big banks being at like 5,000 on a credit card. So keep like, keep low tickets per on average and then have very short duration in general compared to other banks, right? Like they sit with credit card volumes that are commitments for... continuously, we have very, very short durations and have great abilities to adjust our underwriting to macroeconomical conditions.

JAMES FAWCETT Analyst, Morgan Stanley

Got it. And then I wanted to follow up on more of a thematic question. I know most of this conversation today has been around kind of the mechanics here, but any initial takes on how unit economics and agentic e-commerce will evolve for Klarna, especially in an environment where it seems like some of the labs are charging merchants as much as 4% or more?

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

No, I don't think really we have a comment on that. I mean, again, what we've seen is that we have great distribution and we're growing and we generally still see U.S. as a higher margin opportunity because Europe is used to seeing lower cost of payments and that's where we've been coming competing from.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you, James.

JAMES FAWCETT Analyst, Morgan Stanley

Got it. Appreciate it.

FILIPPA BOLTZ Head of Communications, Klarna

Next question comes from Harry Bartlett at Rothschild & Co. Redburn. Please go ahead, Harry.

HARRY BARTLETT Analyst, Rothschild & Co. Redburn

Hi, Sebastian. Hi, Nicholas. I said a question on the GMV guide. I mean, it implies a kind of a minor decel, but I just wanted to touch on your comments around, you know, the US, their financing, Kalana Card, all kind of coming in above your expectations and a year-on-year acceleration. So I guess, you know, Does that imply that maybe there's a bit of an offset in some other products or other regions? And maybe you could just give us some color there.

NIKLAS NIGLIAN CFO, Klarna

Sure. Thanks. Hi, Harry. Look, when you look at a 25 versus 26, we are literally growing at the same pace off the back of, you know, a significant amount of volume, right? So ultimately, when we look at these guys for 26, like I said

before, we are very much focused on ensuring that we get the, you know, continue to grow at those paces across all these markets. And I think we're seeing very good growth across all of them.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Yeah, and I would just add again, since we're coming a little bit to the end here, Harry, I think, look, looking at Klarna, we set out as an ambition to grow a global retail bank. And when I look at this quarter, I see that we're on a fantastic trajectory towards that. You know, we have almost 120 million users globally growing at 28%. We have 15 million now banking growing at over 100%. We're seeing all the different new revenue lines, such as subscriptions, such as the card, and also fair financing growing at a very, very healthy rate. And I think it's very likely that Klarna, if it continues on this trajectory, will become one of the major retail banks in the world. If you even look at the current card growth rate and you just say that you extrapolate that forward, you are very soon to be one of the bigger issues of credit cards and cards in the world. So I think that that is, you know, we're very excited about what we're seeing. And then we, yep.

FILIPPA BOLTZ Head of Communications, Klarna

Thank you. We now have time for one final question, which comes from Timothy Chodo at UBS. Please go ahead.

TIMOTHY CHODO Analyst, UBS

Hi, Tim. Great. Thanks a lot. Thank you. I want to hit one around TAM expansion and the topic of 0% loans to consumers, merchant-funded, so the longer term. You mentioned earlier talking about sort of starting with smaller loans for new customers as you build them, assuming in the U.S. market. But as we look at TAM expansion going to higher-income consumers and Maybe with better credit profiles, it's a bigger topic for your competitor. I was hoping you could just give an update on where this sits within your mix of GMB and where it could go in terms of offering longer-term pay later merchant-funded loans. to consumers? And then I have a follow-up on the U.S. business.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

All right. Thank you. That's a great question. Look, I don't think it's necessarily a smaller topic with us. We just have a lot of topics to cover. So I think that, like, from our perspective, our experience from Europe is that Klarna over time becomes an everyday spending partner for every consumer. I mean, you have to remember, in a lot of our original markets, like the German-speaking ones or the Nordic-speaking ones or the Nordic ones, We're seeing like a population penetration of like 70, 80 percent or 50 percent. So it's really everyone using this product of every background and type. And we believe that the same will over time happen in the U.S. as well. And then you will adjust your offering. Zero percent financing for that is a fantastic offering. And we see great demand among investors. global retailers and global brands again because they're looking for that kind of offering across the globe they want to work with a provider that can do that with them in all markets if you're a home electronics or a phone manufacturer whatever it might be you find it interesting that you can sign one contract and work with one team and then get this live in in more than 20 markets so very much of a big priority for Sykes, who's not here today, our chief commercial officer, but not necessarily what we covered mostly today on the call. So, yes. And the last question, maybe, Niklas, I don't know if... Hey, Tim, you didn't ask it. Oh, no, you didn't ask the last one, Tim. Sorry.

TIMOTHY CHODO Analyst, UBS

That's okay. Thanks. Yeah, it was on the U.S. volume growth. If there were any undercurrents that you could talk about, we would have expected a slightly faster growth in the U.S. in Q4, given... Q3 had a partial contribution from Walmart, and Q4 had a complete or full or close to full contribution from Walmart. And we were just wondering if there were other factors that might have led to that lack of acceleration in U.S. volumes.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

I must say that I'm happy to hear that you have high expectations on us. Personally, I'm very, very pleased with the performance in the US. But what I do know is that when it comes to all these big strategic partnerships like that, there's always fixing this, fixing that, a little bit extra, this and that, and you work on kind of continuously doing that. And that will continue to happen in regards to all these partnerships, both the ones you mentioned as well as the ones I've been talking about, like the stripes of the world and the aliens of the world and so forth. So there is continuous more work getting done there and we're seeing fantastic results.

FILIPPA BOLTZ Head of Communications, Klarna

And with that, we conclude the call. Thank you so much, everyone.

SEBASTIAN SZYMIONKOWSKI CEO, Klarna

Thanks, everybody. Thank you so much.